

Insurance Agency Compliance Reference Guide

Insurance Agency OS | E&O;, Licensing, Carrier Appointments & Ethics

E&O; Best Practices Summary

Errors & Omissions insurance is your professional liability safety net. Beyond carrying E&O; coverage, your daily practices are your best defense.

- Document every client interaction — phone, email, or in-person
- Use signed declination forms when clients decline recommended coverage
- Never bind coverage you're not appointed for
- Keep records for a minimum of 5 years after policy expiration
- Report potential E&O; incidents to your carrier immediately — don't wait

License Maintenance Checklist

- All licenses current in every state you transact business
- Continuing education credits completed before deadline
- Renewal applications submitted 30+ days before expiration
- Non-resident license status confirmed for all states where you write
- Any staff licenses verified — no unlicensed staff transacting insurance

Advertising Compliance Rules

- No misleading claims about coverage, cost savings, or carrier ratings
- Social media posts are insurance advertisements — follow state ad regulations
- Carrier names and logos require permission to use — check your appointment agreement
- Testimonials must be genuine, current, and not promise specific outcomes
- CAN-SPAM compliance for email marketing — always include unsubscribe option

Client Privacy Obligations

- GLBA (Gramm-Leach-Bliley Act): Written privacy policy required; client data must be protected
- Never share client information without authorization
- Data security plan: encryption, access controls, backup procedures
- Breach notification: Most states require notifying clients of data breaches within 30-60 days
- Dispose of client records securely — shred physical; wipe digital